money over the long haul.

## Passive vs. active management

Hard to believe I am still saying this in 2025, but active fund management—when managers try to outperform their benchmarks through superior stock picking and/or market timing—is exceedingly difficult. It has been shown repeatedly that 60–80% of active managers underperform their benchmarks each year. We know the names of the dozen or so managers who have outperformed over time—they are the exceptions that prove the rule.

Your portfolio will be better served replacing most of the actively managed funds with passive indices.

## Reaching for yield

Few mistakes are more costly than chasing yield. Just ask the folks who loaded up on subprime-mortgage-backed securities for the extra yield how that worked out.

The three most common ways to chase yields are: 1) Buying longer-duration bonds, 2) Buying lower-rated, riskier paper, or 3) Using leverage to amplify your gains (which also amplifies your losses). All three of these strategies have been big money losers over the past few decades.

## Understand cycles

Societies, economies, and markets all move in long (secular) eras. Sometimes they are positive (1946 to 1966; 1982 to 2000; 2013 to…?) and we call these secular bull markets. Sometimes they are negative (1966 to 1982; 2000 to 2013) and we call them secular bear markets.

Enjoy your gains during the long bull market—that's the easy part. You have to be willing to ride out the hard parts—and that includes recessions